

ANNEXURE 'C' TO THE REPORT OF THE BOARD OF DIRECTORS

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT 2021-22

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1.	Corporate Identity Number (CIN) of the Company:	L31300KA1987PLC013543
2.	Name of the Company:	3M INDIA LIMITED
3.	Year of incorporation:	July 04, 1987
4.	Registered office address:	Plot Nos. 48-51, Electronics City, Hosur Road, Bengaluru - 560 100
5.	Corporate address:	WeWork Prestige Central 3 rd floor, 36 Infantry Road, Bengaluru - 560001
6.	E-mail:	investorhelpdesk.in@mmm.com
7.	Telephone:	Corp Office: +91-80-2223 1414 Reg Office: +91 80 4559 4300
8.	Website:	https://www.3mindia.in/3M/en_IN/company-in/about-3m/financial-facts-local/
9.	Financial year for which reporting is being done:	2021-22
10.	Whether shares listed on recognised Stock Exchange(s)	Yes, BSE Limited and National Stock Exchange of India Limited
11.	Authorised Capital	Rs. 11,26,50,700 (divided into 1,12,65,070 Equity Shares of Rs. 10/- each)
12.	Paid-up Capital	Rs. 11,26,50,700 (divided into 1,12,65,070 Equity Shares of Rs. 10/- each)

II. Products/services

13.	Sector(s) in which the Company is engaged:	3290 – Other manufacturing N.E.C.(as per NIC 2008)
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Number of business activities:

S. No.	Main Activity group code	Description of Main Activity group	Business Activity Code	Description of Business Activity	% of Turnover of the Company
1	C	Manufacturing	C13	Other manufacturing including jewellery, musical instruments, medical instruments sports goods, etc. activities	60%
2	G	Trade	G1	Wholesale Trading	37%
3	N	Support service to Organizations	N7	Other support services to organizations	2%

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14. Top 3 Products/Services sold by the Company by Turnover (including both manufactured and traded):

S.No.	Product/Service	NIC Code	% of total Turnover contributed	Brand(s) associated with the product/service and % of total Turnover contributed by the Brand(s)			
				Brand 1	Contribution to % of total Turnover	Brand 2	Contribution to % of total Turnover
1	3M™ Scotchkote™ 226N Slow 8G and 11G Fusion Bonded Epoxy Coating	25920	2.78	3M™	2.78	-	-
2	983-71 Ylw Consp 50.8MMX50M (Yellow Conspicuity Tape)	13946	1.65	3M™	1.65	-	-
3	4090 WHITE DG 1230mm x 45.72m (Diamond Grade Cude Type 11 white sheeting)	13946	1.15	3M™	1.15	-	-

15. What is the contribution of exports to total turnover of the Company in percentage: 0.77%

III. Operations

16. Location of top 3 plants (in case of manufacturing businesses) or operations/offices (in case of non-manufacturing) in India by contribution to turnover:

a. **National:**

State	Karnataka	Gujarat	Maharashtra
Turnover (%)	24.70	16.76	58.54
District	Bengaluru	Ahmedabad	Pune
Category A	Yes	Yes	No
Category B	No	No	No
Category C	Yes	Yes	Yes
Category D	No	No	No

Categories are as follows:

Category A: In or within 50 km of protected areas like National Parks, Wild life Sanctuaries, Biosphere Reserves, Wetlands, etc.

Category B: In or within 50 km of Biodiversity Hotspots

Category C: In high water-stressed zones defined as "Over-exploited" or "critical" by the Central Groundwater Board

Category D: Within Coastal Regulation Zones

b. **International:** There are no international operations

Location of top 3 plants (in case of manufacturing businesses) or operations/offices (in case of non-manufacturing businesses) in foreign countries by contribution to Turnover

Country	Turnover (%)
Not Applicable	Not Applicable

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IV. Employees

17. Details as at the end of financial year:

a. **Employees (including differently abled):**

S.No.	Particulars	Total	Male (%)		Female (%)		Other (%)	
			No.	%	No.	%	No.	%
1.	Permanent	1132	991	87.5	141	12.5	-	-
2.	Other than Permanent	-	-	-	-	-	-	-
	Total	1132	991	87.5	141	12.5	-	-

b. **Differently abled Employees:**

S.No.	Particulars	Total	Male (%)		Female (%)		Other (%)	
			No.	%	No.	%	No.	%
1.	Permanent	-	-	-	-	-	-	-
2.	Other than Permanent	-	-	-	-	-	-	-
	Total	-	-	-	-	-	-	-

c. **Workmen (including differently abled):**

S.No.	Particulars	Total No. of Workmen	Male (%)		Female (%)		Other (%)	
			No.	%	No.	%	No.	%
1.	Permanent							
a.	Unskilled	-	-	-	-	-	-	-
b.	Semi-skilled	290	284	97.9	6	2.1	-	-
c.	Skilled	-	-	-	-	-	-	-
d.	Highly Skilled	-	-	-	-	-	-	-
2.	Other than Permanent							
a.	Unskilled	568	526	92.6	42	7.4	-	-
b.	Semi-skilled	-	-	-	-	-	-	-
c.	Skilled	-	-	-	-	-	-	-
d.	Highly Skilled	-	-	-	-	-	-	-
	Total	858	810	94.4	48	5.6	-	-

d. **Differently abled Workmen:**

S. No.	Particulars	Total No. of Workmen	Male (%)		Female (%)		Other (%)	
			No.	%	No.	%	No.	%
1.	Permanent							
a.	Unskilled	-	-	-	-	-	-	-
b.	Semi-skilled	-	-	-	-	-	-	-
c.	Skilled	-	-	-	-	-	-	-
d.	Highly Skilled	-	-	-	-	-	-	-
2.	Other than Permanent							
a.	Unskilled	1	1	0.2	-	-	-	-
b.	Semi-skilled	-	-	-	-	-	-	-
c.	Skilled	-	-	-	-	-	-	-
d.	Highly Skilled	-	-	-	-	-	-	-
	Total	1	1	0.1	-	-	-	-

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18. Participation/Inclusion/Representation of women (including differently abled):

	Total	No. of Females (including differently abled)		No. of females who are differently abled persons	
		No.	%	No.	%
Board of Directors	8	2	25	0	NA
Key Management Personnel	3	1	33	0	NA

V. Holding, Subsidiary and Associate Companies (including joint ventures)

19. (a) Names of subsidiary / associate companies

S.No.	Name of the Company	CIN	Holding/Subsidiary/ Associate/Joint Venture	% of shares held	Does the Company participate in the Business Responsibility initiatives of the parent company?
1	3M ELECTRO & COMMUNICATION INDIA PRIVATE LIMITED	U31909PY1989PTC001156	Subsidiary	100	Yes

- (b) Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities?

The Company collaborates with all relevant stakeholders by sharing its Ethical Business Practices, Code of Conduct, Anti- Bribery Policy and Supplier Code of Conduct with its contract manufacturers, suppliers and other major third parties associated with the Company.

VI. CSR Details:

20. (a) (i) Whether CSR is applicable as per section 135: Yes

(ii) Turnover (Rs. In Lakhs): 311,301.92

(iii) Net worth (Rs. In Lakhs): 248,878.12

- (b) Net Profits for last three financial years: (Rs. In Lakhs)

Financial year ended	March 31, 2022	March 31, 2021	March 31, 2020
Profit before tax	35,969.60	20,244.08	32040.31
Net Profit computed u/s 198 adjusted as per rule 2(1)(f) of the Companies (CSR Policy) Rules, 2014	26,617.51	14,930.09	21897.25

21. Average net profit of the Company for last three financial years (as defined in explanation to sub-section (5) section 135 of the Act (in Rs.)

22. Prescribed CSR Expenditure (two per cent. of the amount as in item 21 above)

23. (a) Total amount spent on CSR for the financial year (in Rs.)

- (b) Amount spent in local area (in Rs.)

- (c) Manner in which the amount spent during the financial year as per the format:

The detailed report on CSR activities is annexed as "Annexure F". Refer Annexure F for point no. 21, 22 and 23.

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SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the Principles and Core Elements.

Disclosure Questions		P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Policy and management processes										
1.	a. Name your Company's policy/policies that cover each principle and its core elements of the NGRBCs.	Y	Y	Y	Y	Y	Y	Y	Y	Y
	b. Has the policy been approved by the Board?*	Y	-	-	-	-	-	-	-	-
	c. Web Link of the Policies	https://www.3mindia.in/3M/en_IN/company-in/about-3m/financial-facts-local//								
2.	Do the enlisted policies extend to your value chain partners?	Y	-	-	-	-	-	-	-	-
3.	Name of the national and international codes/certifications/ labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trust) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your Company and mapped to each principle									

* 3M India Ltd has a globally accepted Code of Conduct policy approved by the CEO of the Parent Company, 3M Company, U.S.A., which is also followed by the Company, being one of its subsidiaries

4. Details of review of NGRBCs by the Company:

Subject for Review	Review undertaken by	Frequency
Performance against above policies and follow up action	Board Committee Any other Committee or CEO	Assessment is an ongoing exercise and is an inherent part of corporate function.
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	Board Committee Any other Committee or CEO	

Stakeholder Engagement

- Describe the process of identifying key stakeholder groups of the Company: Leadership Team Members identify key stakeholder for the Company.
- What are the channels through which stakeholders can access information about the Company on issues relevant to them: Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website. Available at https://www.3mindia.in/3M/en_IN/company-in/about-3m/financial-facts-local/ and forms part of Annual report. The Global sustainability report can be accessed at <http://www.3m.com/sustainabilityreport>.
- If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
The Company does not consider the Principles material to its business	-	-	-	-	-	-	-	-	-
The Company is not at a stage where it is in a position to formulate and implement the policies on specified principles	-	-	-	-	-	-	-	-	-
The Company does not have the financial or/human and technical resources available for the task	-	-	-	-	-	-	-	-	-
It is planned to be done in the next financial year	-	-	-	-	-	-	-	-	-
Any other reason (please specify)	-	-	-	-	-	-	Y	-	-

The Company through various Industry Forums endeavors for economic reforms and inclusive sustainable business principles. Therefore, the Company currently does not find it necessary to frame a policy on principle #7.

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SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

PRINCIPLE 1:	Businesses should conduct and govern themselves with integrity in a manner that is Ethical, Transparent and Accountable.
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Your Company is committed to doing business the right way and 3M's Code of Conduct embodies the Company's core values. The principles in the Code of Conduct remain consistent with 3M's longstanding business conduct principles, its values, and shared ethical standards for conducting business with uncompromising integrity. The Code is built on six principles of Be Good, Be Honest, Be Fair, Be Loyal, Be Accurate and Be Respectful, which applies to all 3M employees, third party customers and vendors who act on the Company's behalf. Violations of the law and 3M's Code of Conduct will result in discipline, up to and including termination from employment.

The Company believes that no sale or business advantage is worth the sacrifice of its unblemished corporate reputation. Every employee is required to undergo several legal and compliance courses to learn about specific ethical issues and how to conduct business fittingly. Bribery and corruption are strictly prohibited in all business transactions. All third parties undergo a due-diligence process and commitments are secured to not violate anti-bribery laws.

The Company understands and encourages a culture of transparency through its '**Speak Up**' program – establishing a whistleblower protection policy, multiple reporting channels, providing the option of anonymity, ensuring all complaints are investigated and strictly discouraging any form of retaliation, through its **non-retaliation policy**. The Company has partnered with a third-party vendor to provide a secure and independent hotline service for reporting ethical concerns anonymously.

Your Company's Code of Conduct also provides guidelines and obligations for respectful behaviour at the workplace, that is free from discrimination and harassment. The **Respectful Workplace Principle** ensures that people are treated with dignity and respect in any 3M workplace. Under the Company's POSH (Prevention of Sexual Harassment) policy which aligns with the Government of India's Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, the Company has constituted specific Internal Committees at each of its locations to address complaints and concerns around sexual harassment.

During the year under review, the Company has ensured that employees continue to uphold the highest standard of ethical behaviour while working in an uncertain environment owing to the pandemic. The collective efforts of 3M employees around the world have enabled 3M Company to be named as one of the World's Most Ethical Companies by **Ethisphere®** for the ninth straight year. This award is a testament to 3M's commitment to do the right thing and its dedication to integrity and governance.

Essential Indicators

- Details of fines/penalties/punishment/award/compounding fees/ settlement amount paid in proceedings with regulators/ law enforcement agencies imposed on your Company by regulatory/ judicial institutions in the financial year.

Monetary

	NGRBC Principle	Adjudicating Authority	Case Name	CNR No.	Brief of the Judgement/ Award	Has an appeal been preferred? (Yes/No)
Penalty/Punishment/Fine Award Compounding fee	-	-	-	-	-	-

Non-Monetary

	NGRBC Principle	Adjudicating Authority	Case Name	CNR No.	Brief of the Judgement/ Award	Has an appeal been preferred? (Yes/No)
Imprisonment Punishment	-	-	-	-	-	-

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2. Details of the Appeal/ Revision preferred in cases where fines/ penalties have been impugned.

Case Name	NGRBC Principle	Adjudicating Authority	CNR No.	Details
-	-	-	-	-

3. Number of complaints / cases of bribery/corruption received/ registered in the financial year.

	Current Financial Year	Previous Financial Year
Number of complaints / cases of bribery, corruption registered with law enforcement agencies against the Company or lodged with the Company internally	-	-

4. Details of disclosure of interest involving members of Board

	Current Financial Year	Previous Financial Year
a) Number of instances of disclosure of interest by the Directors	-	-
b) Number of complaints received in relation to issues of Conflict of Interest of the Directors	-	-

Leadership Indicators

1. Have full details of non-disputed fines/penalties imposed on your Company by regulatory and judicial bodies in the financial year been made available in public domain. Not Applicable
2. Provide details of such instances (up to 3) where corrective actions have been taken on the above punishment/fines/penalties imposed. Not Applicable
3. Provide details of such instances (up to 3) where corrective measures were taken on the complaints / cases of corruption and conflicts of interest. Not Applicable

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe

The Company recognizes the importance of respecting the social and physical environment, and ensuring product safety, stewardship, and compliance. Over the years, the concept of product stewardship has evolved from mandatory regulatory compliance to corporate responsibility and then business opportunity through sustainable product innovation. The Company's approach is to support innovation and growth through product safety, stewardship, regulatory compliance and protect people in our value chain, the environment and 3M businesses by ensuring our products are safe and compliant.

Your Company is committed to reduce to its use of new plastics made from petroleum. To this end, by 2025, 3M Company aims to reduce dependence on virgin fossil-based plastic by 125 million pounds globally. To achieve this, 3M is innovating products and packaging in its consumer business group to use recycled content and bio-based plastics to decrease overall plastics use.

3M's Life Cycle Management process ensures that Environmental, Health, Safety and Regulatory considerations, including all intended and anticipated uses and disposal, are integrated into the development and commercialization of 3M products. Product stewardship audits are a critical component of the life cycle management process, and these are driven by the Company around the world. These audits evaluate, among other elements, product hazard and risk assessment, chemical control, life cycle management and consumer product safety. The goal of these audits is to assure that businesses are meeting corporate standards and to share best practices globally.

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Your Company’s Sustainability Value Commitment embeds sustainability thinking at the core of 3M’s innovation process. It requires all products entering 3M’s new product commercialization process to demonstrate how they drive impact for the greater good. This formal requirement is designed to insert sustainability into the pipeline of every new product 3M launches each year. This is achieved through multiple pathways – incorporate more sustainable materials and processes in new products and formulation of existing products; sustainable products and solutions to help customers be more sustainable in their operations or product use and products that enable new business models and market shifts. Products should have sustainable attributes such as recyclable, increased durability, reduced greenhouse gas emissions. These attributes must be measurable and be substantiated like % of recycled content included, % of energy savings, % of water savings and lastly, the products must communicate how they drive the greater good i.e., improves water quality, reduces pollution, improves accessibility, contributes to UN Sustainable Development Goals (UN SDGs).

With these mandatory checks in place 3M is shifting not only its thought process but also enabling customers to make more sustainable choices.

Essential Indicators

1. Has the Company conducted Life Cycle Assessments (LCA) for any or all of its top 3 brands/ products manufactured? Yes. Based on the annual turnover data, the Company’s top selling product is 3M™ Scotchkote™ 226N Epoxy 11 G bearing SKU IA280100008 which contributes to 2.78% of total sales of the Company and is manufactured at the Company’s Ahmedabad plant. 3M has internal LCA resources using the authorized external tool GaBi. 3M™ Scotchkote™ is manufactured at 3M India Ahmedabad using a 3M intermediate from 3M Cordova. Evaluation of Scotchkote includes raw material acquisition and production (including packaging of the final product). This includes material processing, transportation of raw materials, manufacturing, packaging, and waste disposal of used packaging from raw materials. Product distribution and storage, use, and end-of-life disposal are excluded from the study.

This evaluation has not been conducted in accordance with the requirements of any international standards and is intended only to be used as supporting documentation for internal decision making.

Potential environmental impacts were calculated using the GaBi product sustainability software and the results are presented using CML2001.

NIC Code*	Product/Service	% of total Turnover contributed	Life Cycle Assessment conducted in the Current Financial Year (Yes/No)	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No)
25920	3M™ Scotchkote™ 226N Slow 8G and 11G Fusion Bonded Epoxy Coating	2.78%	Yes	No	No

2. List 3 of your products or services whose design has incorporated social or environmental concerns and/or risks and briefly describe the actions taken to mitigate the adverse environmental and social impacts in production and disposal as identified in the LCA or any other means.

The 3M EHS and Product Stewardship organization measures progress toward raw material usage and waste reduction goals for sites within its global manufacturing footprint. The results and raw data are used to identify, quantify, and prioritize projects to improve, utilizing Lean Six Sigma (LSS) methodology. 3M’s Chemicals Management Policy reflects the evolving values of 3M and its stakeholders. Under this policy, 3M has identified specific chemicals whose use in products and manufacturing processes is subject to restrictions or specific management actions. The detailed Life Cycle Management process identifies the risks involved in every stage of the life of the product. The goal is to identify risks and mitigate or communicate them appropriately to the stakeholders so that they are well managed as per the regulatory & internal requirements. The following are the products launched in the year 2021 and 2022, identified to address the environmental concerns. The risk assessment reviews indicate that the following products have multiple environmental advantages.

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Product / Service	Action Taken
1. 3M™ Multipurpose Shiner	This product provides new, glossy (wet) look to the automotive plastic, rubber and aluminum components. While competitive products use silicone based formulations, 3M™ multipurpose Shiner uses naturally sourced materials to provide the same effect. It is 100% biodegradable and silicone-free.
2. Scotch-Brite™ Sponge Wipes	These are the wipes used in the homecare market segment. The sponges are made of 100% biodegradable cellulose material. It is used to clean soiled or dirty surfaces at home. A small quantity of antimicrobial agent is used in order to protect the product until the product package is opened for use.
3. 3M™ Integrated Absorptive Barrier (IAB)	3M™ Integrated Absorptive Barrier is a complete vehicle acoustic solution which contains a tunable barrier membrane with specialized surface treatments forming a unique “Super Absorptive- Barrier” combination. It is a springy lightweight product with 3D moldabilities. It has improved sound transmission loss & absorptive properties combined to deliver enhanced noise reduction capabilities across a frequency spectrum. This product aligns with several Green Chemistry principles such as less hazardous chemical synthesis (it is RoHS & ELV compliant too), use of renewable feedstocks and safer solvents & auxiliaries.

3. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the Company, respectively.

	Current Financial Year	Previous Financial Year
R&D	None	NA
Capex	None	NA

4. Describe the processes in place to safely collect, reuse, recycle and dispose after sale and at the end of life of your products, separately for (a) Plastics (including packaging) (b) E-waste and (c) other waste:

3M has a sound process for addressing waste related concerns and achieve compliance with to regulatory requirements.

Plastic Waste: Under the Environment Protection Act 1986, the Ministry of Environment, Forest and Climate Change notified and amended the Plastic Waste Management Rules, 2016, providing for collection, segregation, processing, treatment and disposal of the plastic waste in an environmentally sound manner. The rules emphasize on Polluter’s Pay Principle through mandates such as the Extended Producer Responsibility (EPR) where Brand Owners must collect and take back the plastic waste generated due to their products either individually or collectively through waste collection agencies such as Producer Responsibility Organizations (PRO). 3M India Limited, is registered as a Brand Owner with the Central Pollution Control Board, and has partnered with a PRO for the end-of-life management of product plastic packaging waste. 3M India’s EPR action plan is executed by the selected PRO in a planned and systematic manner in designated states. The PRO, which recycles all types of plastic waste, has a pan-India presence through tie-ups with municipal corporations, logistic partners for the collection and transportation of plastic waste, and a wide network of collection centers managed through numerous collection partners located across India. Collection of Multi Layered Packaging (MLP) and Non MLP Waste in these centers is done through waste collectors, aggregators, traders, societies and more, with the waste collected being segregated in two categories: recyclable & nonrecyclable. Plastic waste, which can be recycled, is channelized to registered plastic waste recyclers for recycling operations, with conversion into recycled plastic granules which are further used for manufacturing plastic products, making it truly circular. The non-recyclable plastic waste material is redirected to co-processing activities in cement kilns or for road construction. As part of compliance, EPR data is submitted to the CPCB every quarter.

Hazardous Waste: Hazardous Waste Management Rules are notified to ensure safe handling, generation, processing, treatment, package, storage, transportation, use reprocessing, collection, conversion, and offering for sale, destruction and disposal of hazardous waste. Every occupier of the facility who is engaged in handling, generation, collection, storage, packaging, transportation, use, treatment, processing, recycling, recovery, pre-processing, co-processing, utilization, offering for sale, transfer or disposal of the hazardous and other wastes is required to obtain an authorization from the State Pollution Control Board. 3M India sites

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have authorization issued through respective state pollution control boards. Hazardous waste generated at site is collected, labelled and stored in hazardous waste storage areas and is further handed over to SPCB authorized facilities for co-processing, incineration, recycling /recovery etc. as specified in the consent form within 90 days from the date of waste generation. As a part of compliance requirement, Annual return in Form 4 is submitted to SPCB by 30th June every year.

Biomedical Waste: According to Biomedical waste (management & handling) rules, every occupier of an institution generating biomedical waste shall take all steps to ensure that such waste is handled without any adverse effect to human health and the environment. Every occupier of an institution generating, collecting, receiving, storing, transporting, treating and /or handling Biomedical Waste requires authorization from the Pollution Control Board. 3M India has obtained this authorization for various categories of biomedical waste. Biomedical waste generated at site is recorded, segregated and post basic treatment handed over to authorized biomedical waste handling entity - Maridi Bio Industries Ltd on a periodic basis.

E-Waste: E-Waste (Management) Rules, 2016 rules is applicable for every manufacturer, producer, consumer, bulk consumer, collection centers, dealers, e-retailer, refurbisher, dismantler and recycler involved in manufacture, sale, transfer, purchase, collection, storage and processing of e-waste or electrical and electronic equipment listed in Schedule I, including their components, consumables, parts and spares which make the product operational .The responsibility of disposal of e-waste has been assigned to Producers of notified Electrical & Electronic Equipment (EEE) under the principle of Extended Producer Responsibility (EPR). Under EPR regime producers of EEE are, given annual e-waste collection and recycling targets based on the generation from previously sold EEE. 3M India does not have obligation for reporting as the Company’s products do not fall under the Schedule-I of the said rules. The Company encourages end users of electrical and electronic products to dispose such products in an environment-friendly and responsible manner. For this purpose, end users of 3M’s electrical and electronic products are instructed to contact e-waste recyclers in India, authorized by Central Pollution Control Board (CPCB) under Ministry of Environment, Forest & Climate Change (MoEF & CC), Government of India. 3M India has published the details of authorized e-waste recyclers on its corporate website through user instructions manuals.

Leadership Indicators

1. Percentage of input material (by value of all inputs) to total inputs sourced from suppliers:

Current Financial Year		Previous Financial Year
Adhering to national and international codes/ certifications/labels/ standards (refer Q 4, Section B)	3M mandates all its suppliers to oblige and comply with 3M policies. There are Supplier Responsibility codes which provide guidance towards Labor, Health & Safety, Ethics, Environment & Management Systems to the suppliers; Pulp & Paper Sourcing Policy; Responsible Mineral Policy; RoHS specifications; Anti-bribery; Compliance to local regulations, etc. Compliance with the law and other requirements, which includes adherence to the SRC, is included in our contracts and purchase order terms and conditions as an expectation of doing business with 3M.	NA
Adhering to internal standards /guidelines		
Directly sourced from MSMEs/ small producers	80%	NA
Sourced directly from within the district and neighboring districts		

2. Describe the improvements in environmental and social impacts of product and processes due to R&D and Capex Investments in specific technologies: Not Applicable
3. Percentage of recycled or reused input material to total raw material (by value) used in: Not Applicable

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PRINCIPLE 3: Businesses should respect and promote the well-being of all employees, including those in their value chains

Your Company is committed to creating a workplace where employees can thrive, reach their full potential while making a difference in the world. 3M believes well-being is holistic taking in to account all dimensions of health - physical emotional mental, financial and social.

The Company rewards employees for excellence and follows a 'pay for performance' philosophy. 3M offers a competitive-based pay, and a wide range of benefits to protect employees through medical insurance, accident and life insurance. Physical well-being is also promoted through Annual Medical Checkups. Additionally, ongoing support through well-being programmes run throughout the year.

Your Company's work culture promotes a flexible, diverse and inclusive environment, one that supports the emotional well-being of all employees. 3M introduced a flexible work model called Work Your Way which empowers employees to choose their working arrangement to bring about greater work-life balance. Other initiatives such as everyday recognition through Everyday Wins, Employee Assistance Programme, which supports our employees through 24/7 counselling needs are some of the ways to create a caring work environment that promotes emotional engagement.

Financial Well Being

The Company recognizes that in addition to competitive pay, employees might also need support to understand financial planning and its implications as they traverse through different stages in their lives and careers. To facilitate this, the Company conducts regular awareness programmes, provides consultative support and tax planning as part of its benefits administration.

Mental Well Being

Your Company's efforts in Learning and Career Development support employees through their entire life cycle in the organization – from Hire to Retire. Whether it is in creating a great onboarding experience, supporting employees to settle in 3M, helping employees transition to becoming first time supervisors, sharpen their skills as experienced supervisors or in supporting leaders through organisational transformation, the Company's efforts are designed keeping the aspirations of employees at the forefront, aligning that with the needs of the organisation.

Social Well Being

At 3M, diversity and inclusion are essential to innovation. Your Company seeks and values differences in people – in thinking, experience, ethnicity, sexual orientation, age, gender, personalities and styles. Embracing the different skills, life experiences and abilities of its people is what drives the Company forward and keeps it relevant. This is achieved through intensive training on Diversity and Inclusion, Allyship, Equity and Social Justice and by aligning policies and practices accordingly. Employees are also encouraged to give back to communities as it acts as a powerful driver, creating a sense of belonging. Employees actively participate in Corporate Social Responsibility (CSR) through personal volunteering.

Essential Indicators

1. a. Details of measures for the well-being of employees (including differently abled):

Category	% of employees covered by										
	Total	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		No.	%	No.	%	No.	%	No.	%	No.	%
I. Permanent											
a. Male	991	-	100	-	100	-	-	-	3.5	-	-
b. Female	141	-	100	-	100	-	3.5	-	-	-	1
c. Other	-	-	-	-	-	-	-	-	-	-	-
Total	1132	-	100	-	100	-	3.5	-	3.5	-	-
II. Other than Permanent											
a. Male	313	-	100	-	-	-	-	-	-	-	-
b. Female	31	-	100	-	-	-	-	-	-	-	-
c. Other	-	-	-	-	-	-	-	-	-	-	-
Total	344	-	100	-	-	-	-	-	-	-	-

ANNEXURE 'C' TO THE REPORT OF THE BOARD OF DIRECTORS

b. Details of welfare measures for differently abled employees:

Category	Total	% of employees covered by									
		Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		No.	%	No.	%	No.	%	No.	%	No.	%
I. Permanent											
a. Male	-	-	-	-	-	-	-	-	-	-	-
b. Female	-	-	-	-	-	-	-	-	-	-	-
c. Other	-	-	-	-	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-	-	-	-	-
II. Other than Permanent											
a. Male	-	-	-	-	-	-	-	-	-	-	-
b. Female	-	-	-	-	-	-	-	-	-	-	-
c. Other	-	-	-	-	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-	-	-	-	-

c. Details of welfare measures for workmen (including differently abled):

Category	Total	% of workmen covered by									
		Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		No.	%	No.	%	No.	%	No.	%	No.	%
I. Permanent											
a. Male	-	-	-	-	-	-	-	-	-	-	-
b. Female	-	-	-	-	-	-	-	-	-	-	-
c. Other	-	-	-	-	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-	-	-	-	-
II. Other than Permanent											
a. Male	-	-	-	-	-	-	-	-	-	-	-
b. Female	-	-	-	-	-	-	-	-	-	-	-
c. Other	-	-	-	-	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-	-	-	-	-

d. Details of welfare measures for differently workmen:

Category	Total	% of workmen covered by									
		Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		No.	%	No.	%	No.	%	No.	%	No.	%
I. Permanent											
a. Male	-	-	-	-	-	-	-	-	-	-	-
b. Female	-	-	-	-	-	-	-	-	-	-	-
c. Other	-	-	-	-	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-	-	-	-	-
II. Other than Permanent											
a. Male	-	-	-	-	-	-	-	-	-	-	-
b. Female	-	-	-	-	-	-	-	-	-	-	-
c. Other	-	-	-	-	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-	-	-	-	-

ANNEXURE 'C' TO THE REPORT OF THE BOARD OF DIRECTORS

2. Details of statutory dues (PF, Gratuity, ESI) deducted and deposited with the authorities approved by government, for Current financial year and previous financial year.

Statutory Dues	Current Financial Year			Previous Financial Year		
	No. of employees and workmen eligible for deduction	Deducted as prescribed	Deposited	No. of employees and workmen eligible for deduction	Deducted as prescribed	Deposited
PF	1132	Yes	Yes	1147	Yes	Yes
Gratuity	1132	Yes	Yes	1147	Yes	Yes
ESI	6	Yes	Yes	10	Yes	Yes

3. Mechanism available to receive and redress grievances for the following categories of employees and workmen:

Mechanism			
Permanent Workmen	Yes	Employees and Workmen can report their concerns initially to their direct management, regional integrity officer/human resources manager and also through ethics point help.	
Other than Permanent Workmen	Yes		
Permanent Employees	Yes		
Other than Permanent Employees	Yes		

4. Number of Complaints made by employees and workmen:

	Current Financial Year		Previous Financial Year		Pending resolution at the end of year	Pending resolution at the end of year
	Filed during the year	Pending resolution at the end of year	Filed during the year	Pending resolution at the end of year		
Sexual Harassment	-	-	-	-	2	-
Working Conditions	8	1	-	-	2	1
Health & Safety		-	-	-	-	-
Discrimination workplace	13	4	-	-	12	2
Child Labour	-	-	-	-	-	-
Forced Labour/Involuntary Labour						
Labour	-	-	-	-	-	-
Wages	-	-	-	-	-	-
Child Labour	-	-	-	-	-	-

5. Percentage of membership of employees and workmen in association(s) or unions recognised by the Board: Not Applicable
6. Details of safety related incidents during the current financial year:

Safety Incident/Number	Current Financial Year	Previous Financial Year
Lost Time Injury Frequency Rate (LTIFR) (per one million-man hours worked)	0	0
Accidents at the workplace	0	0
Fatalities caused	0	0
Permanent Disability caused	0	0
Temporary disability caused	0	0

ANNEXURE 'C' TO THE REPORT OF THE BOARD OF DIRECTORS

Leadership Indicators

1. a. Details of training to employees and workmen (% to total no. of employees/workmen in the category):

Category	Current Financial Year					Previous Financial Year				
	Total	On Health and safety measures		On Skill up-gradation		Total	On Health and safety measures		On Skill up-gradation	
		No.	%	No.	%		No.	%	No.	%
Employees and Workmen										
Permanent	991	716	72	799		902	-	-	-	-
Other than permanent	141	11	9	135		178	-	-	-	-
Total	1132	827	73	934		1080	-	-	-	-

- b. Details of training imparted to the differently abled employees and workmen (% to total no. of differently abled employees/workmen in the category): Not applicable
2. Provide the corrective actions taken for children/adolescents identified as employed in your establishments and value chain: Not applicable
3. Provide the corrective actions taken for forced/involuntary labour identified in your establishments and value chain: Not applicable
4. Provide the actions taken to prevent adverse consequences to the complainant in discrimination and harassment cases: Not applicable
5. Percentage of accident-affected employees/workmen rehabilitated and placed in suitable employment: Not applicable
6. Provide the corrective actions taken on the outcomes of health and safety audits of your establishments, including value chain partners:

Environment Health & Safety

All three Manufacturing Facilities of 3M India are certified by ISO 45001, a standard for management systems of Occupational Health and Safety Standards. 3M India facilities undergo audits by certification bodies such as Underwriters Laboratories for ISO 14001, ISO 45001 and Global Risk Consultants for fire safety audits. 3M India facilities also undergo rigorous 3M Internal Corporate Audits. All the findings identified are tracked by the site through a CAMMS database and gaps are closed in due course with proper controls using the hierarchy of controls of Elimination, Substitution, Admin Controls, personal protective equipment and management oversight.

Our Ahmedabad and Bengaluru manufacturing sites received 3M Company's CEO's EHS award. 3M India Bengaluru plant received the second place in Karnataka State Level Safety award under Large Category Industries at a Function organized by Department of Factories, Boilers, Industrial Safety and Health, Government of Karnataka.

3M EHS Cultural Excellence Programme rolled out by 3M Corporate is our functional 3M Execution Model and lays out the Manufacturing Excellence Principles.

Each section of the framework focuses on various aspects of Environment, Health and Safety and provides the basis to address EHS risks and compliance obligations applicable to all workers and their 3M operations. Progress against each of these parameters is assessed through an internal audit framework, giving the Company the confidence to maintain sustained & functional Environment, Health and Safety management systems.

ANNEXURE 'C' TO THE REPORT OF THE BOARD OF DIRECTORS



PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders

The Company's stakeholder engagement strategy continues to evolve and it looks to its stakeholders to help increase understanding, broaden awareness, seek technical input and expertise and evaluate potential collaborations and partnerships. These engagements help the Company stay relevant and respond to the needs of the market and communities.

The Company believes that stakeholder engagement should be based on candid and authentic dialogue - grounded in 3M's Principles - and should contribute to the evolution of its strategic priorities. In recent years many of the Company's key stakeholders - shareholder, customers, investors, suppliers, representatives of civil society, and employees - have been increasingly asking about different aspects of sustainability performance of the Company. When it comes to strategic planning, collaborations, environmental and social goal setting, and reporting, the Company seeks and relies on both internal and external input to drive meaningful, enduring change on environmental, social, and governance (ESG) challenges globally. With employees, the Company is committed to retaining the highest level of talent by being a company that employees are proud to work in. Accordingly, it is imperative that the Company ensures that the workplace is safe, healthy and inclusive based on human rights, diversity and equity principles and employees are rewarded with competitive benefits and compensation apart from professional development.

With investors and shareholders, the Company is committed to delivering good financial performance, ensure timely concise and transparent disclosures, respond to queries and uphold the highest standards of corporate ethics and values.

With customers and partners, the Company is committed to bringing the 3M promise to life through innovative products and solutions of high quality with sustainability attributes to address and solve environmental and social challenges.

With the Government, regulators, non-profit organisations, the Company seeks to engage in meaningful dialogue, participate in initiatives and collaborations for impact, and comply with laws, regulations and policies.

With academic institutions, the Company seeks to engage in technical research and promote STEM education and advancement of women in STEM fields.

With suppliers, the Company supports collaborative efforts to deliver business results, identify, and amplify sustainability initiatives and respect the human rights of workers.

ANNEXURE 'C' TO THE REPORT OF THE BOARD OF DIRECTORS

Essential Indicators

1. List stakeholder groups identified as key for your Company as described in Section B, Q. 5, and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group	Channels of communication	Frequency	Whether environment and social issues discussed
Business – Customers, Suppliers, Investors	No	Email, Newspaper, Advertisement, Community Meetings, Website, Seminars, conferences and events	Annually/ Half yearly/ Quarterly	Yes
Government and Regulators and Trade bodies				
Civil Society				

Leadership Indicators

1. Provide details of instances as to how the inputs received from stakeholders were incorporated into policies and activities of the Company.

Consultations with external and internal stakeholders both at the global and country level were instrumental in developing the Sustainability Strategy.

The Company works with various NGO partners in the following areas to engage with disadvantaged, vulnerable and marginalized stakeholders:

- Improving the infrastructure and learning environment in Government Anganwadis, part of Govt. of India's ICDS program, to help children under the age of 6 years be school ready in cities such as - Kolkata, Bengaluru, Pune, Ahmedabad, Chennai, Delhi, Gurgaon, and Mumbai.
- Supporting the primary education of first-generation girl children in Government Schools in rural areas in Ambegaon district, Pune.
- Providing food and essentials kits to vulnerable communities affected by economic disruption due to COVID-19.
- Supporting initiatives to enhance access to quality healthcare through medical equipment to hospitals and mobile health clinics in rural communities.

PRINCIPLE 5: Businesses should respect and promote human rights

3M Company respects international human rights principles, including the United Nations Declaration of Human Rights, the United Nations Guiding Principles for Business and Human Rights (UNGP), the European Human Rights Convention, the International Labor Organizations' Declaration on Fundamental Principles and Rights at Work, the OECD, and the UN Convention Against Corruption.

3M Company is committed to upholding human and workplace rights in all 3M operations globally. This commitment is embodied in 3M's Human Resource Principles, which respect the dignity and worth of all individuals, encourage the initiative of each employee, challenge individual capabilities, and provide equal opportunity for development.

The Company's culture has always emphasized integrity and fairness alongside innovation and excellence, and it will continue to respect and help employees develop their diverse talents. 3M will continue to recognise its responsibility with regard to:

Safe and Healthy Workplace – Assuring that 3M provides a safe and healthy workplace to all employees, and that the 3M workplace complies with applicable laws, regulations, and policies.

Respectful Workplace - Prohibiting unlawful discrimination and harassment and assuring that all employees and anyone doing business with 3M are treated with respect.

Workplace Security – Maintaining a workplace that is free from violence, harassment, intimidation or other unsafe or disruptive conditions.

ANNEXURE ‘C’ TO THE REPORT OF THE BOARD OF DIRECTORS

Work hours and wages – Complying with all local applicable laws and regulations relating to wages, work hours, overtime and benefits.

Child Labor – Complying with all local applicable laws and regulations relating to hiring minors. 3M sites and operations are expected to have a procedure for verifying the age of employees at the time of hire. If it is determined that any employee is underage, employment must be terminated, and 3M site management should take appropriate remedial steps that include consideration of the child’s best interest.

Forced Labor – Prohibiting the use of all forms of forced labor, including indentured labor, bonded labor, military labor, slave labor and any form of human trafficking. 3M will not retain original employee documents (such as government issued identification, passport or work permits) unless employees voluntarily request 3M to safely store them, or where required by law. If 3M retains employee documents, 3M will not deny employee access to the originals of their identity or immigration documents.

Additionally, 3M does not permit the practice of having employees pay recruitment fees or other related fees, in order to obtain employment. This practice can result in employees being forced to work in order to pay off debt incurred as part of securing employment. If an employee has been charged fees to secure employment, those fees shall be repaid to the employee.

Failure to comply with these requirements may result in disciplinary action, up to and including termination of employment.

Essential Indicators

1. a. Details of remuneration/salary/wages (including differently abled):

	Male		Female		Other	
	Number	Average remuneration/ salary/ wages	Number	Average remuneration/ salary/ wages	Number	Average remuneration/ salary/ wages
Board of Directors	1	3,48,83,442	-	-	-	-
Key Managerial Personnel	2	60,11,741	1	1,08,37,674	-	-
Employees other than BoD and KMP	704	33,62,443	134	28,59,387	-	-
Workmen	284	7,78,931	6	4,46,866	-	-

- b. Details of remuneration/salary/wages of differently abled:

	Male		Female		Other	
	Number	Average remuneration/ salary/ wages	Number	Average remuneration/ salary/ wages	Number	Average remuneration/ salary/ wages
Board of Directors	-	-	-	-	-	-
Key Managerial Personnel	-	-	-	-	-	-
Employees other than BoD and KMP	-	-	-	-	-	-
Workmen	-	-	-	-	-	-

2. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business?

The Company has an Ethics and Compliance committee, governed by comprehensive frameworks and processes to address grievances. This committee has oversight on Ethics, Compliance as well as 3M Code of Conduct. The Company works with a third party platform called NAVEX to record, monitor and address these issues.

ANNEXURE ‘C’ TO THE REPORT OF THE BOARD OF DIRECTORS

- Describe the internal mechanisms in place to redress grievances related to human rights issues.

We continue to use Ethics Points for any Human Rights issues at 3M. The Company’s Code of Conduct is based primarily on the Code of Conduct of the 3M Company, USA, which is followed by all the entities in the 3M Group worldwide. The Code of Conduct is expected to be adhered by other stakeholders including customers and vendors.

Leadership Indicators

- Stakeholders groups covered by the grievance redressal mechanism for Human Rights issues:

S. No.	Name of Stakeholder Groups	Whether Vulnerable or Marginalized	Whether covered by grievance redressal mechanisms covered by Human Rights issues
1	Suppliers	No	Yes
2	Contingent workers	No	Yes
3	Communities we support through CSR	No	Yes
4	Customers	No	Yes

- Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints. Not Applicable

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment

3M Company adopted its Corporate Environmental Policy in 1975 and will continue to demonstrate leadership through its commitment to environmental management and the principles of sustainable development. 3M’s Environmental Management System framework provides structure and consistency for implementing programs and puts the Company in a proactive mode regarding its environmental focus. The Company has extensive global systems in place to identify, track, and manage relevant information on corporate-wide EHS management and performance. This includes covering a full range of environmental compliance and operational performance metrics relevant to 3M operations.

3M has long been a leader in addressing both challenges and opportunities presented by climate change and energy conservation. The Company is committed to innovate to decarbonize industry, accelerate climate solutions, and improve our environmental footprint. This commitment is a part of the Science for Climate pillar of 3M Company’s our Strategic Sustainability Framework. As a science-based company, 3M uses the World Resources Institute (WRI)/ World Business Council for Sustainable Development (WBCSD) GHG Protocol Corporate Accounting and Reporting Standard to set GHG emission reduction targets. 3M’s commitment is to reduce Scope 1 and 2 market-based GHG emissions from our 2019 baseline by at least 50% by 2030, 80% by 2040, and be 100% carbon neutral in its operations by 2050. 3M has also committed to a 2025 goal to help its customers reduce their GHGs by 250 million tons of CO2 equivalent emissions through use of 3M products.

Water is an important raw material supporting the Company’s manufacturing processes. 3M’s Water Stewardship Standard outlines its commitment to water resources that secure social equity, economic growth, and environmental protection. Water resources include water intake, effluent water discharge, and rainwater. 3M’s commitment is to reduce global water usage by 10% by 2022, 20% by 2025, and 25% by 2030, indexed to sales. In addition, 3M has a goal to engage 100% of water-stressed/scarc communities where 3M manufactures, on community-wide approaches to water management by 2025.

Since 2015, 3M’s goals include to reduce manufacturing waste by an additional 10%, indexed to sales, by 2025 and achieve zero landfill status at more than 30% of manufacturing sites by 2025.

While reducing waste is the first choice, other possibilities, such as reusing, recycling, and composting, can also fuel the circular economy by getting more out of our materials and allowing them to continue into their next life. That means increasing product and process optimization, on-site and offsite recycling, and composting - with a focus on recovery, reuse, and recycling.

ANNEXURE 'C' TO THE REPORT OF THE BOARD OF DIRECTORS

Essential Indicators

1. Details of energy and water consumption by the Company:

Parameter	SI Unit	Current Financial Year	Previous Financial Year
Energy consumed/turnover	KWH / Yr	1,36,30,876	1,17,40,870
Water consumed/turnover	CuM /Yr	71,302	59,635
% water consumed from recycled & harvested sources/Treated Water	%	12.1%	26%
% Water consumed from groundwater Sources	NA	Nil	Nil

2. Air emissions and liquid discharges per unit of production for the 3 major facilities of the Company as reported to regulatory authorities:

	Current Financial Year					Previous Financial Year			
	UOM	Ahmedabad	Bengaluru	Ranjagaon	Total	Ahmedabad	Bengaluru	Ranjagaon	Total
SO _x Limit (UOM)	mg/Nm3	100	100	100		100	100	100	
Actual Measured Value (UOM)	mg/Nm3	8.72	4	28.4	41.12	9.36	3.37	26.02	38.75
NO _x Limit (UOM)	mg/Nm3	50	50	50		50	50	50	
Actual Measured Value (UOM)	mg/Nm3	9.34	24.9	45	79.24	10.24	28	44.7	82.94
TPM ₁₀ (UOM) Limit	mg/Nm3	150	150	150		150	150	150	
Actual Measured Value (UOM)	mg/Nm3	65.25	29.5	22.6	117.35	67.93	22.36	25.9	116.19
VOC Permissible Limit (UOM): MA-PA-Phenol	mg/Nm3	NA	NA	20		NA	NA	20	
Actual Measured Value (UOM)	mg/Nm3	NA	NA	0	0	NA	NA	0	0
VOC Permissible Limit (UOM): EB-Styrene/Toluene/ Xylene, EG-PG	mg/Nm3	NA	NA	100		NA	NA	100	
Actual Measured Value (UOM)	mg/Nm3	NA	NA	1.87	1.87	NA	NA	2.16	2.16
VOC Permissible Limit (UOM): Non-Methane HC-Paraffin, Acetone, Olifins	mg/Nm3	NA	NA	150		NA	NA	150	
Actual Measured Value (UOM)	mg/Nm3	NA	NA	0	0	NA	NA	0	0

Leadership Indicators

1. What are the material environmental risks to the business identified and the mitigation measures adopted by the Company with regard to the following:

Environmental component	Risk(s) identified	Mitigation measures adopted
Land use	-	-
Emissions	-	-
Water	Water Scarcity, Water Sparse locations (Ranjangaon, Ahmedabad and Bengaluru)	Water Management Program and implementation plan
Energy		01) Propane to natural Gas 02) Increase % share of renewable energy
Biodiversity	-	-
Other		

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2. Percentage of renewable energy consumed to total energy consumed

	Current Financial Year	Previous Financial Year
% age of renewable energy consumed to total energy consumed	21.9%	15.4%

3. Provide details of solid waste management relating to the following aspects

	Current Financial Year	Previous Financial Year
%age of non-biodegradable waste to total waste generated	Same as Haz. Waste	Same as Haz. Waste
%age of recyclable waste to total waste generated	83%	81%
%age of hazardous waste to total waste generated	17%	19%

4. Briefly describe the solid waste management practices adopted in your establishments.

The Company follows 3M's Waste Management Standard which applies to all 3M locations and provides a framework for managing all waste types from the time of generation until reused, recycled, treated or disposed. These standard sets a baseline for several core waste programme elements and encourages waste minimization and recycling whenever possible. Per the Standard, each location has to assign a Waste Management Coordinator who is responsible for ensuring that personnel receive applicable waste training. Compliance with all 3M and other regulated waste requirements is evaluated through the internal environmental auditing programme.

Efforts are made to reduce waste generation at source. Waste generated from non-working inventory, quality rejections and production processes is used as alternate fuel in the cement industry. Waste from all plants is collectively sent for co-processing to cement kilns. This has helped the Company minimize the incineration process and enabling the Company to reduce its carbon footprint by 359 MT of CO₂ in 2021.

PRINCIPLE 7:

Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

The Company has established good relationships with various relevant Ministries through its Government Affairs department, which regularly interact with Government officials on regulatory and policy matters. The Company is often invited to provide input on policy drafts and amendments to represent the industry voice.

The Company is also a member of various trade associations and industry bodies in various capacities and regularly engages through committees by providing expertise and recommendations, creating awareness on the Company's position.

During COVID, the Company also actively participated through special taskforces to drive collaborative effort of the industry to support the Government's fight against COVID.

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations: 9
- b. List the top 5 trade and industry chambers/ associations you are a member of/are affiliated to, on the basis of no. of members

S. No.	Name of the trade and industry chambers/ associations	Scope of Entity
1	CII: Confederation of Indian Industries	National
2	AMCHAM: American Chamber of Commerce in India	National
3	NIPM: National Institute of Personnel Management	National
4	ELCITA: Electronic City Industrial Township Authority	Local
5	KEA: Karnataka Employer Association	State

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PRINCIPLE 8: Businesses should promote inclusive growth and equitable development

3M Company is committed to improve lives and build sustainable communities through social investments and employee engagement around the world. The Company's our ambition to create a more sustainable future through our people, products, solutions and science advocacy—advancing the UN Sustainable Development Goals and science for the greater good. Spanning the issues of poverty, inequality, climate change, environmental degradation, peace and justice, the SDGs ensure no one is left behind in the pursuit for a sustainable future. As a participant in the United Nations Global Compact, 3M supports the UN Global Compact's 10 principles in the areas of human rights, labor, environment and anti-corruption.

In India, 3M's CSR efforts are anchored on three pillars of impact – Education, Community and Environment. COVID was a recent addition as a focus area given the developments over 2020-2021. The Company works with multiple NGO partners to implement several interventions under these pillars.

Education:

3M India's education interventions address a continuum of needs to support underprivileged children and enable young people to harness their potential for advancement. Interventions are at multiple levels – early child development and education, grants and supports to young scientists and social entrepreneurs, education of underprivileged girl students and infrastructure support to Government schools.

Community:

3M India's community efforts are aimed at improving lives in communities around areas where the Company has a presence, with interventions ranging from skills development and promotion of public health and safety. 3M India's response to community interventions during times of natural disasters also come under community pillar.

Environment

In line with 3M's Global Sustainability Goals, 3M India has contributed to initiatives such as rainwater harvesting to address drinking water needs in rural homes and other water stressed areas. Other interventions include water conservation efforts around city lake development programs.

COVID

During the pandemic, the Company prioritized CSR contributions with greater focus on COVID related relief and rehabilitation initiatives, to support the Government's fight against COVID. The Company also assessed the emerging and medium-term needs of the community identifying opportunities to lead support in areas of healthcare and education.

At the onset of the second wave, the Company collaborated with other corporates and industry bodies to support urgent action on equipping Government hospitals with ICU equipment and infrastructure. The support was also extended to pediatric ICU unit in preparation for future pandemic waves. With the Government's approval of vaccines for the general public, the Company joined hands with various State Governments and local municipal corporations to support community vaccination drives in urban slum locations and rural districts. In addition, the Company initiated a project in Shirur Taluk, Pune to support rural primary healthcare centers with solar infrastructure to ensure uninterrupted power supply. The Company continued to build resilience within communities through healthcare and education initiatives. In some of the aspirational districts, the Company launched mobile health cans offering primary healthcare services in rural communities. The Company also provided digital learning aids to girl students in Government schools in Maharashtra to help them continue their education amidst school closures due to the pandemic.

Essential Indicators

1. Provide the following information on CSR projects undertaken by your Company. Describe the mechanism to receive and redress grievance of the community.

The Company has established relationships with multiple NGO partners with presence across locations who provide insights on emerging community issues and requests for support on specific challenges. Needs assessment activities are also conducted in partnership with NGO partners through dialogue with local Government authorities on issues around health and education. During COVID, the Company also participated in collaborative efforts with other organizations to quickly respond to the urgent needs of

ANNEXURE 'C' TO THE REPORT OF THE BOARD OF DIRECTORS

communities. Voices from the community are also captured through planned project site visits which see active participation from employees. These visits provide exposure to the problems faced by communities on ground and also provide valuable feedback on the interventions implemented by the Company. These insights and reports are communicated on a periodic basis to the CSR committee and appropriate actions are undertaken to address issues.

2. Have the benefits derived of the various intellectual properties owned or acquired by your Company based on traditional knowledge been shared equitably? Not Applicable
3. List of adverse orders and case details of intellectual property rights disputes related to traditional knowledge during the FY. Not Applicable. As there were no adverse orders and case.

Leadership Indicators

1. Provide the following information on CSR projects undertaken by your Company in designated aspirational districts as identified by government bodies:

Kindly refer detailed report on CSR activities annexed as "Annexure F".

2. Details of the benefits derived of the various intellectual properties owned or acquired by your Company based on traditional knowledge shared: None
3. Details of corrective actions taken in intellectual property related cases wherein usage of traditional knowledge is involved: None

PRINCIPLE 9: Businesses should engage with and provide value to their consumers in a responsible manner

Whether it is technology, manufacturing, global capabilities or the 3M brand, the Company is committed to connecting its fundamental strengths to create value for its customers. The Company engages with customers by bringing its technology to them, along with deep domain of expertise and work alongside customers to solve problems.

Many of the Company's products are either specified (designed for the customer) or regulated (meeting specific performance and other requirements). 3M also works through multiple commerce channels, including distribution, direct, retail, and e-commerce. In every channel, the Company maintains a customer-first focus, so that we can be in a position to deliver value when, where, and how they want it. One way we deliver added value to our customers is through comprehensive training and education for many of the industries and markets we serve, including in health care and personal safety. In doing so, we can equip our customers not only with many of the products they need but also knowledge on best practices and applications of these solutions to help maximize their effective use. In addition, this work aligns with our efforts to advance UN Sustainable Development Goals (SDGs) focused on health care and economic growth.

The Company is also committed to support customers in meeting their environmental goals, by providing products and solutions with sustainability attributes. The Company's Sustainability Value Commitment (SVC) requires that 100% of products entering the new product commercialization process to include sustainability attributes that demonstrate how they will drive impact for the greater good. By embedding sustainability into our R&D process, our brands, and the mindset of our customers and suppliers, 3M continues to advance our commitment to improving our business, our planet, and every life.

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

The Company follows a global process named Customer Issue Resolution (CIR), to address any issues with the Company's product portfolio. There are many customers who buy from multiple business groups and CIR provides a dedicated web-based system customer complaints are registered on the portal and processed for resolution. The portal captures documents, images etc., performs root cause analysis and ensures the resolution of any type of customer dissatisfaction in a timely and qualitative manner. This tool is integrated with Tableau to track complaint inflow rate and complaint case cycle time to maintain the highest standard of customer experience.

ANNEXURE 'C' TO THE REPORT OF THE BOARD OF DIRECTORS

The Company also administers periodic feedback surveys through an independent service provider and concerns raised are addressed to resolution and communicated through a follow up mechanism to ensure customer satisfaction.

- Products and services of your business carrying information about environmental and social parameters, Safe and responsible usage and recycling and safe disposal.

3M provides a TDS (Technical Data Sheet) and an MSDS (Material Safety Data Sheet) for each of its products which carries information on product usage, hazard status, storage conditions, shelf life, disposal methodology, etc.

% age of products and services carrying information	
Environmental and social parameters relevant to the product	100
Safe and responsible usage	100
Recycling and safe disposal	100
Not Applicable (Yes/No)	

- Number of consumer complaints in respect of:

The Company uses a robust Customer Issue Resolution (CIR) process which allows our immediate customers to register and obtain resolution of their complaints. The Company tracks resolution of these complaints on a regular basis, including setting improvement targets. These complaints primarily pertain to transactional issues such as delivery errors, invoice errors, product quality related etc. For end-consumer complaints, the Company can be contacted in multiple ways, viz., our Toll Free Telephone Number 1-800-425-3030, or via e-mail at 3mcustomercontactcenter.in@mmm.com or directly reach out to us at 3M India Customer Contact Center, 48-51 Electronic City, Hosur Road, Bengaluru, Karnataka -560100. Due to very limited complaints in the nature of non-transactional ones are received via these channels, the Company does not have a formal dashboard at this time.

	Current Financial Year			Previous Financial Year		
	At the Beginning of the year	Received during the year	Pending resolution at end of Year	At the beginning of the year	Received during the year	Pending resolution at end of year
Data privacy						
Advertising						
Delivery of essential Services						
Restrictive Trade Practices						
Unfair Trade Practices						
Other						

Leadership Indicators

- Channels / platforms where information on products and services of the Company can be accessed (provide web link if applicable). https://www.3mindia.in/3M/en_IN/company-in/

On behalf of the Board of Directors

Place: Bengaluru
Date: May 27, 2022

Ramesh Ramadurai
Managing Director
DIN: 07109252

Amit Laroya
Director
DIN: 00098933